CENTRIFUGAL DMK stalwarts C.N. Annadurai and M. Karunanidhi in the 1960s; below, Mamata Banerjee exemplifies the new regional power





Abolition of the Planning Commission in 2014 led to the Finance Commission becoming a major means of fiscal transfer as the commission itself broadened its scope of sharing all taxes since 2000

THE ABILITY OF STATES TO FINANCE CURRENT EXPENDITURE FROM THEIR OWN REVENUES HAS DECLINED FROM 69% IN 1955-56 TO LESS THAN 38% IN 2019-20

States end up bearing the burden of **60% of all expenditure** in the country: critically, 85% on education and 82% on health

STATES CANNOT RAISE TAX REVENUE DUE TO CURTAILED INDIRECT TAX RIGHTS POST-GST. SO REVENUES HAVE BEEN STAGNANT AT 6 PER CENT IN THE PAST DECADE

States have to spend about **25-40% as matching grants on 131 centrally** sponsored schemes. Built on a one-size-fits-all approach, these schemes get priority over state schemes, undermining electorally mandated policies

than any other state, and, therefore, figure on top of human development indices. In Kerala, India's first non-Congress government, led by E.M.S. Namboodiripad, initiated land reforms that have served as the bedrock for the state's success in education and health. In Tamil Nadu, MGR introduced the noon meal scheme for children that bettered nutrition in what is perhaps the earliest direct benefit transfer scheme. Employment guarantee in Maharashtra, local governance initiatives in Karnataka and Kerala, and school education in Himachal Pradesh are among schemes that were later adopted at the national level. In 2021, the Dravida Munnetra Kazhagam reintroduced the narrative on respecting state's rights, first articulated by party founder C.N. Annadurai.

What is worrisome is that states that have successfully moderated population growth may lose out on resources if demographics remain the sole determinant for development funds—poorer states contribute far less to the economy but require greater fiscal inputs. This has created a context where collective action among states becomes difficult.

As it is, analysts say, India's macro fiscal realities actually increase the fragility of state finances. The central strategy of squeezing revenue from states—by increasing cesses or increasing state shares in Union schemes—and insisting on giving GST compensation only in the form of loans, that too in a process beset with long delays, runs contrary to the spirit of fiscal federalism. But the biggest conceptual failing is to look at the politics of regional identity as inherently isolationist. What the one-size-fits-all theory misses in the realm of social development, it also misses in the political domain—the fact that states offer a finer sieve and more sensitive lens with which to negotiate diverse political contexts and identity claims. ■